

● STRATEGIC HR CASE STUDY · ABC CORPORATION · FY2026

# Project Horizon

## Re-engineering the Employee Lifecycle for a Digital Era

A critical inflection point where a 5,000-employee legacy workforce must transition into a tech-forward banking leader, backed by a data-driven IDR 2 Billion strategy.

PREPARED BY

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# Project Horizon

## Re-engineering the Employee Lifecycle for a Digital Era

A critical inflection point where a 5,000-employee legacy workforce must transition into a tech-forward banking leader, backed by a data-driven IDR 2 Billion strategy.



**5,000**

Total Employees  
legacy workforce



**IDR 2B**

Total Investment  
strategic budget



**20%**

Current Turnover  
annual churn rate

Explore the Strategy ▾

## ROOT CAUSE ANALYSIS

# The Root Cause

A **domino effect** triggered by a single strategic gap: the absence of a workforce upskilling plan during technology adoption.



01

### The Catalyst

#### New FinTech Adoption

Rapid deployment of new financial technologies—digital banking platforms, AI-driven credit scoring, automated compliance tools—without a parallel workforce readiness strategy.



02

### The Gap

#### No Upskilling Roadmap

Employees feel incompetent with new tools. Without structured training, confidence erodes and the skills gap between workforce capability and technology requirements widens.



03

### The Result

#### 60% Engagement Collapse

Employee engagement drops to a critical 60% as workers feel left behind. Disengagement cascades into missed performance targets, increasing pressure across all levels.



04

### The Crisis

#### 20% Manager Churn

Mid-level managers bear the full weight of implementation stress—accountable for results but lacking resources. This drives a devastating 20% churn rate in the organization's most critical layer. Assuming ~500 mid-level managers, this equals 100 departures per year.

### Core Insight



Technology alone cannot drive transformation; people capability must evolve in parallel with the tools they are expected to use. The absence of a structured upskilling roadmap created a compounding crisis that is now costing the organization its most experienced talent.

# Where to Intervene First



1 ⚡ **Skills Gap** TOP PRIORITY  
Fintech Readiness  
Impact **High** Urgency **High**

2 ↘ **Manager Turnover** TOP PRIORITY  
Mid-Level Churn (20%)  
Impact **High** Urgency **High**

3 ⌚ **Low Engagement**  
Employee Score (60%)  
Impact **Medium** Urgency **Medium**

→ **KEY INSIGHT**

Primary focus must be on **closing the fintech skills gap** and **stabilizing mid-level leadership**, as these drive both turnover and engagement decline.

# Our Three-Pillar Strategy

A coordinated intervention targeting skills capability, talent intelligence, and leadership resilience, simultaneously.



01

## Solution Pillar 1

### Fintech Upskilling Pipeline

Implement a 6-month intensive training program for the top 20% of "high-readiness" employees, creating a certified talent vanguard to lead the digital transition.

- ✓ Partner with leading digital bootcamps for fintech certifications
- ✓ Target the top 20% of high-readiness employees in Cohort 1
- ✓ Phased rollout to all 5,000 employees over 18 months

Allocated Budget

**IDR 900 Million**

45%



02

## Solution Pillar 2

### Talent Match Intelligence

Deploy a data-driven "Success Formula" to identify high-potential employees for internal mobility, reducing misfit cost and creating clear performance differentiation across talent tiers.

- ✓ Statistical scoring using Self-Efficacy (SEA) & Stakeholder Focus (CEX)
- ✓ Predict which employees will excel in the new tech environment
- ✓ Create clear performance differentiation between talent tiers
- ✓ Reduce misfit cost through evidence-based internal mobility

Allocated Budget

**IDR 500 Million**

25%



03

## Solution Pillar 3

### Managerial Empowerment & Retention

Launch a "Managerial Retention Protocol" that ties performance bonuses to team engagement scores and provides leadership coaching focused on navigating technological change.

- ✓ Performance bonuses directly tied to team engagement scores
- ✓ Leadership coaching focused on Change Management methodology
- ✓ Help managers lead disengaged teams through the tech transition
- ✓ Build a resilient, supported mid-management layer

Allocated Budget

**IDR 600 Million**

30%

# Budget Allocation

Optimizing an **IDR 2 Billion** investment across three strategic pillars.

\$

**IDR 2.0B**

Total Strategic Investment

45%

30%

25%

IDR 0

IDR 2 Billion



Upskilling



Managerial



HR



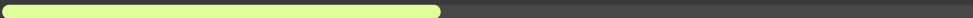
**KEY INSIGHT**

Projected cost avoidance of **IDR 122B in year one**: a **60x return** on the IDR 2B investment.

45% of budget

**IDR 900M**

**Upskilling & Technical Training**

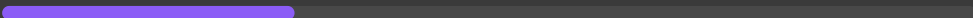


- Digital bootcamp partnerships & licensing
- Fintech certification programs (500 initial trainees)
- 6-month intensive training cohort operations

30% of budget

**IDR 600M**

**Managerial Retention & Coaching**

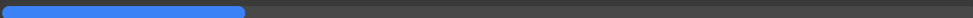


- Engagement-linked performance bonus pool
- Change Management leadership coaching program
- Executive resilience & facilitation workshops

25% of budget

**IDR 500M**

**HR Analytics & Digital Infrastructure**



- Talent Success Formula scoring engine
- Real-time engagement monitoring dashboard
- Predictive attrition analytics platform

# HR Investment Impact Simulation

## Turnover Reduction Scenario

Estimating financial impact of reducing employee turnover through targeted HR interventions

### KEY ASSUMPTIONS

|                             |                            |
|-----------------------------|----------------------------|
| Total Employees             | 5,000                      |
| Current Turnover Rate       | 20% (1,000 exits per year) |
| Avg. Monthly Salary         | IDR 15,000,000             |
| Replacement Cost Multiplier | 1.5x annual salary         |
| Cost per Replacement        | IDR 270,000,000            |
| Total HR Investment         | IDR 2 Billion              |

### SCENARIO INPUTS

Turnover Reduction

9%

0%15%

Training Completion Rate

100%

0%100%

💡 Each employee replacement costs ~IDR 270M annually. Targeting 9% reduction with 100% training completion retains ~450 employees in practice.

Note: The 9-percentage-point drop is modelled by combining upskilling impact (reduced voluntary attrition among trainees) and the ripple effect of halving manager churn on team-level turnover.

👤 Employees Retained

450

9% reduction from total workforce

💰 Estimated Cost Avoidance

IDR 122 B

Based on replacement cost per employee

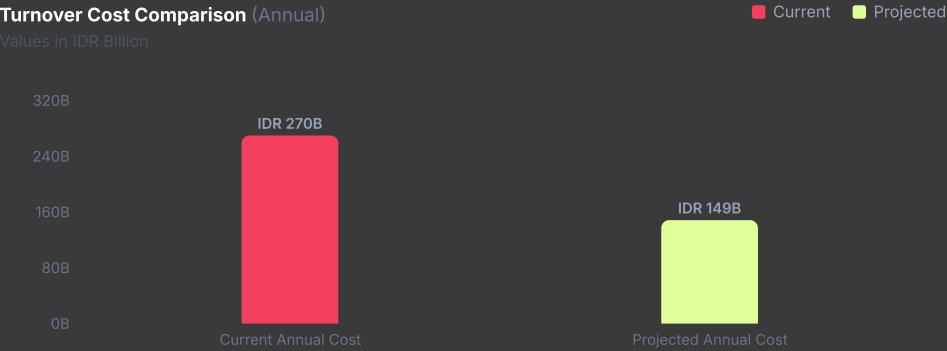
📈 Net Financial Impact

+IDR 120 B

After deducting IDR 2B investment

### Turnover Cost Comparison (Annual)

Values in IDR Billion



➔ Even a modest reduction in turnover delivers outsized financial impact.

### Strategic Interpretation

- 🕒 Turnover reduction has the highest financial leverage among all HR initiatives
- 🕒 Upskilling and retention programs directly translate into measurable cost savings
- 🕒 Investment efficiency increases as retention improves â€” compounding returns over time

# 6-Month Execution Plan



01

Month 1

Discovery & Assessment

Skill gap analysis across all 5,000 employees

Identify high-readiness employees for Cohort 1

Define success metrics and baseline KPIs

Month 1

Talent segmentation completed

02

Month 2 – 4

Execution

Launch fintech upskilling program (500 trainees)

Deploy talent scoring model & HR dashboard

Begin managerial coaching sessions

Month 3

50% training completion

03

Month 5 – 6

Optimization & Evaluation

Track KPI improvements vs. baseline

Adjust training content based on outcomes

Evaluate retention impact & ROI

Month 6

KPI evaluation & ROI review



# Success Metrics

Defined baselines and 6-month targets across all three strategic pillars.

| CATEGORY                | KPI                           | BASELINE | 6-MO TARGET |
|-------------------------|-------------------------------|----------|-------------|
| 🎓 UPSKILLING            |                               |          |             |
|                         | Certification Rate            | 0%       | ↗ 90%       |
|                         | Internal Mobility Rate        | 5%       | ↗ 15%       |
| 🧠 TALENT MATCHING       |                               |          |             |
|                         | Placement Accuracy            | Ad-hoc   | ↗ 85%       |
|                         | Performance Delta             | 1.0×     | ↗ 1.4×      |
| 🛡️ MANAGERIAL RETENTION |                               |          |             |
|                         | Manager Turnover Rate         | 20%      | ↘ 10%       |
|                         | Team Engagement Score         | 60%      | ↗ 75%       |
| OPTIONAL                | Skill Proficiency Improvement | TBD      | ↗ +25 pts   |

Retaining **450 employees** through these initiatives avoids **IDR 122B** in annual replacement costs — a **60× return** on the IDR 2B investment.

## STRATEGIC SUMMARY

# Conclusion & Strategic Impact

A targeted, evidence-based program to transform ABC Corporation's workforce into a competitive advantage in the digital banking era.

## 💡 3 KEY TAKEAWAYS

# 01



### Close the Fintech Skills Gap

Closing the fintech skills gap is the highest-impact intervention, directly enabling the technology transition and reducing capability-driven attrition.

# 02



### Retain Mid-Level Managers

Retaining mid-level managers stabilizes execution and culture. Manager turnover is the single greatest multiplier of team disengagement and productivity loss.

# 03



### Embed Data-Driven HR

Data-driven HR enables measurable and scalable impact, shifting HR from a cost center to a strategic lever with clear accountability.

## FINAL STATEMENT



With a targeted **IDR 2 Billion** investment, ABC Corporation can reduce turnover, improve engagement, and accelerate its transition into a **digital-first bank**.

## CALL TO ACTION

**Initiate a 30-Day Discovery Phase to validate assumptions and begin implementation.**

Aligned with ABC Corporation's digital transformation mandate →

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Project Horizon  
ABC Corporation

